Article | 5 June 2026

UNITED STATES

Firm US jobs numbers boost rate hike chances, but lack of breadth remains a concern

Yet another stronger-than-expected US jobs number in an environment of rising inflation is fuelling expectations of a Fed rate hike before the end of the year. Nonetheless, there is a lack of breadth in job creation and wage growth is slowing, meaning household finances are coming under increasing pressure

A stronger-than-expected jobs number in May, but wage growth is slowing and rising inflation is fuelling a Fed rate hike expectation before year-end

172,000 **Jobs added in May**

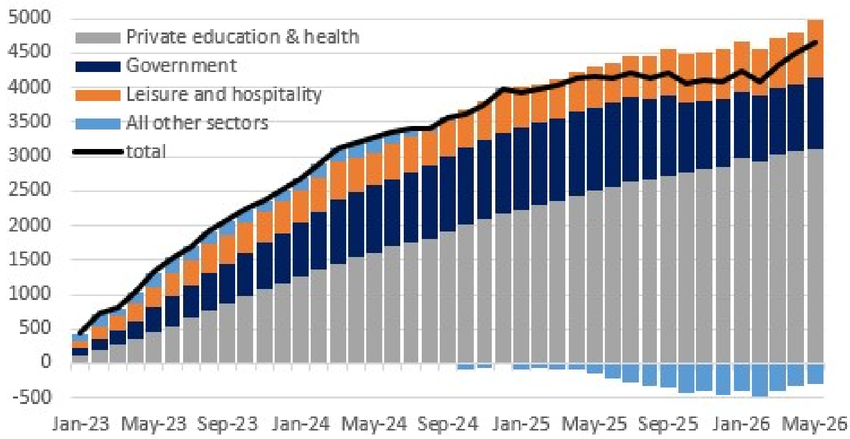
Better than expected

Payrolls boosted by the usual 'big 3'

The May jobs report is strong, with non-farm payrolls rising 172k versus the 88k consensus expectation, plus there were 93k upward revisions to the past two months' data. Private payrolls are up 120k versus 89k expected, while government added 52k. Meanwhile, the unemployment rate remained at 4.3% and wage growth slowed to 3.4% from 3.6%.

The breakdown shows that it is the usual three sectors of leisure & hospitality (+70k), government (+52k) and private education and healthcare services (+40K) that are generating the gains. That means every other sector of the US added just 10k jobs in total. The chart below shows that these 'big 3' sectors have accounted for every single one of the jobs added since December 2022. All other sectors – manufacturing, technology, energy, retail, transport and logistics, financial services, business services, etc, have lost jobs on balance over the past 3 and a bit years. So, while this is a very good report at the headline level, the lack of breadth to the job creation story remains an important theme.

Cumulative job creation since December 2022 (000s)



Source: Macrobond, ING

Fed hike expectations build, but there is a long way to go

It is possible that the remarkably strong leisure & hospitality number was boosted by the World Cup that starts next week, but it feels a little early. Moreover, the 51k rise in local and state government looks a little too strong in the current environment. The elephant in the room is why is the official jobs data are so strong when business surveys, such as the ISM reports, indicate falling employment while the Challenger Report from earlier in the week continued to point to net losses and the daily vacancy numbers from Indeed continue to grind lower?

The household survey, which is used to calculate the unemployment rate, is more consistent with those private sector surveys. It showed employment gains of 149k in May, but that follows four consecutive months of declines while noting the median duration of unemployment increased to 11.6 weeks.

Despite the lack of consistent messaging in the labour market data, we now have a rate hike fully priced at the December FOMC meeting. That is understandable given the Fed's hawkish pivot and the hot inflation prints of recent months. Conviction may increase further with Wednesday's CPI print expected to show headline inflation rising to 4.2% from 3.8% and core CPI edging up to 2.9% from 2.8%. Nonetheless, the squeeze on household spending power is intensifying with real household disposable incomes having fallen for three consecutive months and consumer confidence remaining close to all-time lows. There is a long way to go before the end of the year, and we still lean in the direction of eventual rate cuts assuming a deal can be reached to reopen the Strait of Hormuz.

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Article | 5 June 2026 FX RATES

June ECB cheat sheet: How to train your hawks

Here are our four scenarios for the 11 June ECB meeting, alongside implications for rates and FX. We think the ECB s current priority is solidifying markets expectations on further tightening to hedge against inflation expectations de-anchoring. Our baseline is therefore a hawkish hike, with some indications the bank is prepared to raise rates again

This is our market preview of June’s ECB meeting; you can find our macro team’s preview here.

Scenario analysis: How to position for Lagarde's alternatives

	Inflation outlook	Growth outlook	Interest rates	EUR/USD (1.160)	10Y Bund (3.00%)
Current stance	Short-term upside risks due to war. If persistent, may cause second-round effects	Risks tilted to the downside, especially in the near term, due to the war	Depo rate at 2.00%. Data-dependent, meeting-by-meeting approach		
Dovish	Recent easing in energy prices somewhat reduces risk of persistent inflation	Downside risks for growth have increased, should linger even after peace	**25bp hike.** Must be careful not to overtighten – implicit hints of 'one and done'	1.150	3.00%
Neutral	Reiterating April views. Too early for any second-round effects. Risks still on upside	Risks still to the downside, have increased somewhat since April	**25bp hike.** Not giving any new guidance. Reiterating wide optionality on rates	1.158	3.00%
Hawkish ING base-case	Upside risks have increased, growing concerns on infl. expectation de-anchoring	Placing less emphasis on lingering growth risks, and more on inflation	**25bp hike.** Opening the door more explicitly to further hikes in coming months	1.165	3.10%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Explicitly prepared to accept growth impact to prevent a repeat of inflationary crisis	**25bp hike.** Strong signal this is the start of a rate hike cycle, next one possible in Jul	1.170	3.15%

The ECB is set to hike rates by 25bp on 11 June. Recent communication has effectively pre-committed markets to this outcome. A hold would come as a shock and carry significant risk for a central bank trying to avoid a repeat of the 2022 inflation crisis.

As such, our four scenarios for this meeting (above) exclude anything other than a 25bp move. A 50bp hike could be included as an ultra-hawkish outcome, but there is already additional tightening priced in for later this year, which means shocking markets now seems unnecessary.

Focus on keeping markets hawkish

Markets are fully pricing in a 25bp hike, so focus will be on forward-looking language – effectively a reality check on the 64bp of total tightening priced in by year-end. The Governing Council and President Christine Lagarde will, in our view, share a key objective: to preserve these hawkish market expectations.

That's because the June move looks more like insurance than conviction. The risk of second-round inflation effects remains as hard to estimate as the next chapter for the Gulf conflict and energy prices. Inflation forecasts, typically central to the ECB reaction function, are now heavily driven by oil prices and therefore less reliable in this environment. We think the real battleground for the ECB now is inflation expectations. They are a function of rate expectations, and unless the ECB keeps those hawkish, it risks de-anchoring.

So our baseline is a hawkish hike at this June meeting. Not so much because the ECB is necessarily planning or willing to commit to another hike in July, September, or the fourth quarter, but because it is the most prudent play as it waits for clarity on geopolitics, energy, and the data. Our macro team has acknowledged rising risk of a follow-up move in September, but our baseline remains that this June hike is a one-and-done.

Rates: ECB should tread carefully to keep inflation expectations anchored

Markets are already fully pricing in this hike, but we think a confirmation could still add more upward pressure on the curve. When paired with forward guidance about future hikes, we see rates nudge slightly higher. More emphasis on inflation risks could increase markets' pricing of inflation too, adding to the upward pressure.

A (too) dovish outcome risks feeding future inflation expectations, paradoxically adding upward pressure on rates further out the curve. This would entail a significant steepening with 2-year rates edging lower on less tightening, but a sticky 10-year rate on the back of inflation concerns further out the future. A 'one-and-done' narrative would strongly push against the positioning of current markets, which have already priced in a second hike by September. The ECB should therefore likely prefer to come across as too hawkish rather than too dovish.

Markets are also sensitive to the growth outlook and have been moving on ECB comments regarding the risks. So far, market sentiment has been very positive, helped by strong US equity performance. But the balance is fragile and an ECB voicing more worries about the growth outlook could pose some downward pressure across the entire curve.

FX: ECB hawkishness can reinforce floor for EUR

Short-term rate differentials have regained explanatory power in our EUR/USD short-term fair value model. That is likely a result of a hawkish Fed repricing while ECB tightening bets were being questioned. The rewidening in the EUR:USD two-year swap rate differential has been sizeable – roughly 25bp since end-April.

That differential is now pointing down for EUR/USD – other things equal – but still allows for a spot at 1.160+ as long as oil remains well-behaved. A hawkish ECB hike on 11 June should keep that equilibrium in place. It would also increase the upside potential for EUR/USD if the Strait of Hormuz reopens, counting on a higher base for EUR short-term rates.

So, if we are right with our baseline view, there are upside risks on meeting day for EUR/USD, with a firmer near-term outlook. We remain slightly bullish into summer, targeting a gradual move back to 1.180 in a de-escalation scenario.

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Article | 3 June 2026

A rate hike and then what? Our ECB preview

With a rate hike looking like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting

Christine Lagarde, President of the ECB, which is likely to hike rates next week

Anything but a rate hike at the 11 June ECB meeting would be a big surprise. The ECB is not facing a textbook case of de-anchoring inflation expectations (yet) but rather the expected scenario of increasing actual headline inflation, with higher energy prices showing knock-on effects on other parts of the economy. At the same time, however, actual headline inflation developments are still broadly in line with the ECB's March projections, while core inflation has turned out somewhat higher.

Looking ahead, for inflation in the eurozone, the only way is currently up. Not a sharp up but a rather moderate and gradual lift. While the knock-on effects of higher energy prices on other prices, like transportation and food, will be hard to avoid, the latest survey-based inflation expectations have come down a bit. Selling price expectations in both industry and services, but also the ECB's own longer-term consumer inflation expectations, all dropped slightly in May. Definitely not enough to give an all-clear but surely sufficient to support our view of only a gradual and limited increase in inflation over the coming months.

Reasons for this view are still the absence of substantial fiscal support against higher energy prices (compared with 2022) and much lower saving ratios than in 2022. In short, the pass-through of higher energy and input prices to final consumption will be limited due to a lack of ability and willingness of consumers to actually pay for these higher prices.

Even as some critics argue the ECB risks repeating its 2022 mistake of reacting too late to an obvious inflation shock, the comparison with that period is flawed – not least in terms of fiscal stimulus and savings. Back in 2022, eurozone inflation was already above 4% YoY when the energy price shock hit. The ECB's infamous late reaction came with the first rate hike in July 2022, when headline inflation was actually above 8% YoY. Also, back then, less than 25% of the main inflation components had an inflation rate of less than 1% YoY. In April this year, it was 50%. And last but not least, the first rate hike in 2022 came from a policy rate of -0.5%. Currently, the policy rate is at 2%.

All of this does not mean that the ECB will not hike rates next week. But it is to say that the current macro environment is very different from 2022 and does not call for any aggressive rate hikes. At least not at the current juncture. Against this background, next week's ECB rate hike should be seen as a kind of insurance rate hike. An insurance rate hike as the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates.

As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

What to watch at next week's ECB press conference

As a hike to the deposit rate of 25bp (from 2%) looks like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting. In this regard, there are three important things to watch at the press conference.

Fresh round of forecasts

Even though the war in the Middle East has lasted much longer than anyone had anticipated, market variables have not moved in line with the longer duration of the war. Or in other words: oil prices, exchange rates and bond yields are currently trading close to their March levels. Consequently, we don't expect any significant changes to the ECB's new macro projections but see them close to their March levels. If anything, the inflation forecast for this year could be revised somewhat higher; growth could be revised marginally lower. The picture for 2027 and beyond is unlikely to change.

Communication

When the ECB started hiking rates in 2022, it even pre-announced the hike at the meeting before. Back then, it was obvious that the ECB would have to engage in a series of rate hikes. This time is different. We don't expect the ECB to pre-commit to any next steps on 11 June but to rather stress the meeting-by-meeting approach.

This would not only reflect a cautious but reasonable approach, but also the simple fact that views within the ECB will greatly differ. An insurance rate hike has become a no-brainer, but going beyond that could have more severe adverse effects on growth and will not be that straightforward for all ECB members. This is why we expect the ECB to strike a delicate balance between not calling the hike a 'one-and-done' hike while also stopping short of pre-announcing further hikes. Let's call this a gently hawkish tone.

Boris Vujčić was appointed Vice-President of the European Central Bank earlier this year

A new man by Christine's side

And for the real ECB followers, don't be surprised if you spot a new man by Christine Lagarde's side at the press conference. Instead of Luis de Guindos, there will be Boris Vujčić, former Croatian central bank governor and now new ECB vice-president, sitting next to Christine Lagarde. With Vujčić, the ECB will again have a president or vice-president with a PhD in economics for the first time since Mario Draghi left office. However, if Vujčić follows the tradition of all his predecessors, we will not witness a lot of his economic wisdom at press conferences, as the speaking time of vice-presidents at ECB press conferences tends to be shorter than your average radio song.

All in all, next week's ECB meeting promises a lot of action: a rate hike and a lot of speculation about next steps.

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Article | 2 June 2026 FX UNITED KINGDOM UNITED STATES

Webinar: War, oil, and stagflation – The central bank stress test

Join ING s economists and strategists for a live webinar on 8 June to discuss the widespread fallout of the Iran war and the difficult choices ahead for global central banks. Sign up here

If central banks were hoping for clarity on the Middle East by their June decisions, they're likely to be left bitterly disappointed. Energy prices are down but the Strait of Hormuz remains far from open. Inflation is climbing and with every passing day, supply chains become ever more disrupted. Yet economies, particularly in Europe, are starting to show the strain. The case for rate hikes is far from clear-cut.

Join ING's economists and strategists for a live 45 minute discussion of the forthcoming central bank decisions. You'll learn:

- Why an ECB rate rise looks like a done deal in June – and why this could be a one-off
- The outlook for growth and inflation across the US and Europe
- Whether the Fed could really hike rates this year – and why officials are turning more hawkish
- Why the Bank of England is proving more reluctant to hike rates than the ECB and why a hike is far from guaranteed
- Where EUR/USD could trade over the summer in different oil price scenarios

Details

Date: Monday 8 June

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 45 minutes, including Q&A

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 1 June 2026

COMMODITIES, FOOD & AGRI

Risks to agri markets look underpriced as Hormuz crisis drags on

Despite talks to reopen the Strait of Hormuz, concerns over fertiliser prices and availability continue to rise, and in our view, agri-commodity markets have not fully priced in these risks. While the impact is likely to be uneven and less severe in Europe, disruption could still build over time, requiring companies to manage supply risks proactively

Strait of Hormuz closure continues to feed fertiliser concerns

The impact of the conflict in the Middle East on fertiliser and agri markets is probably best described as a tragedy unfolding in slow motion. A major part of global fertiliser and fertiliser feedstock remains exposed. While an extension of the ceasefire could see a resumption in flows, the outlook is likely to remain fragile as a more permanent deal could be challenging to secure.

The global risks were highlighted again recently, with the Food and Agriculture Organization warning of 'the beginning of a systemic agrifood shock that could trigger a severe global food price crisis'. The UN Agency is specifically concerned about countries in Africa and parts of Asia. In our view, the situation is less severe for Europe, although it is clear that risks persist for European companies over the next 12 months. While current market conditions suggest limited risk of an immediate price spike, underlying pressures may still build over time if supply constraints persist.

Both farmers and policymakers react to fertiliser shock

The key concern is that higher fertiliser prices will reduce usage, which could weigh on crop yields and tighten agricultural supply over time.

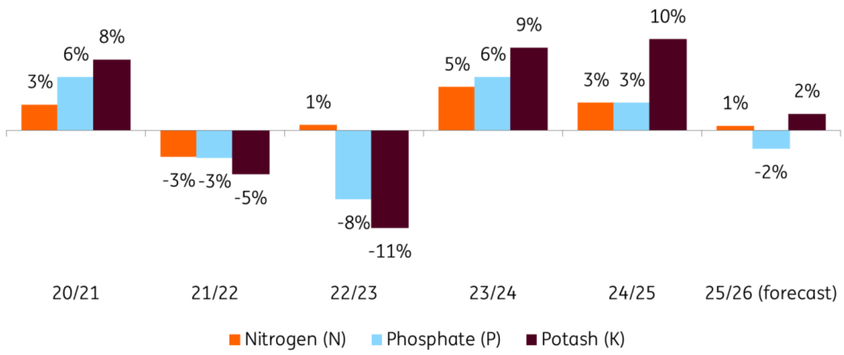
Compared to 2022, fertiliser affordability (the ratio between fertiliser and crop prices) has deteriorated sharply, creating a stronger incentive for farmers to reduce application rates. As a result, the International Fertilizer Association expects usage to decline in the 2026/27 season.

The impact is unlikely to be uniform, however, as farmers use different types of fertiliser to support yields, reproduction and resilience. Previous shocks show that demand for nitrogen-based fertiliser tends to be more inelastic than potash and phosphate.

Also, farmers in developing countries are generally more sensitive to prices, while farmers in developed economies (including the EU) tend to have more options to mitigate the risks.

Use of nitrogen-based fertilisers is more stable compared to phosphate and potash

Annual change in use

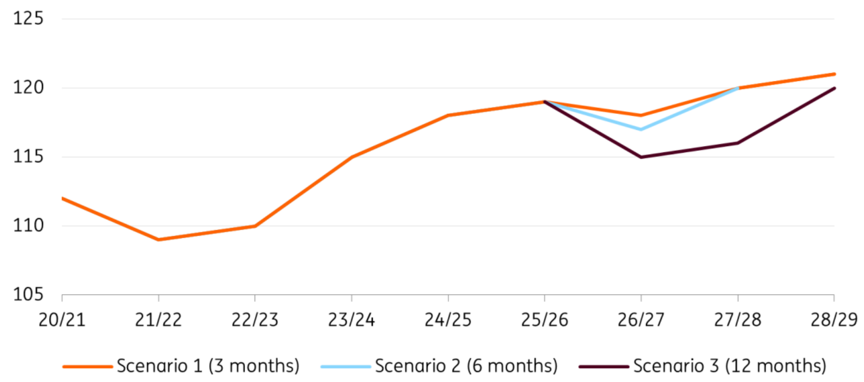


Source: IFA, ING Research

The disruption to fertiliser markets is exacerbated by the implementation of export quotas and restrictions by other major exporters, including Russia and China. That further exposes vulnerabilities in key importing regions like Australia, Brazil, India and the EU. On the other hand, governments in these countries and regions are stepping up their actions to secure supplies for domestic farmers or alleviate part of the cost pressure. The Australian government, which is usually quite market-orientated, has already intervened to secure nitrogen and urea shipments. Meanwhile, the EU recently published its Fertiliser Action Plan, which included commitments to support the most affected farmers.

IFA expects 1-2% decline in global Nitrogen-based fertiliser if Iran war lasts 3-6 months

Global use of nitrogen-based fertilisers in three scenarios, in million tonnes



Source: IFA, ING Research

Commodity market fundamentals favourable, for now

For commodity markets, the current geopolitical conditions are clearly negative. However, fundamentals such as supply, demand, stocks and broader economic factors remain more favourable, according to the International Food Policy Research Institute (IFPRI). This helps to limit the likelihood of immediate price spikes compared with previous shocks in 2007, 2010 and 2020.

A number of agri commodities heading into the 2026/27 marketing year are well supplied following strong output in 2025/26 amid record yields. This has left inventories at comfortable levels, helping to ease supply concerns.

The expectation for 2026/27 has been that while markets are expected to tighten (with yields falling back from record levels), they are likely to remain comfortable, suggesting only moderate strength in prices this year.

- Admittedly, US wheat prices have seen more significant strength due to the terrible condition of the domestic winter wheat crop. However, the global wheat market is expected to remain largely comfortable this season, suggesting that the market should see a pullback.
- Our expectation is that the corn market will trade in a largely $4.50-5/bu range through the latter half of the year, with a reduction in area, leading to a year-on-year decline in output, and as a result, tighter global stocks YoY.
- As for soybeans, the increase in area this year and higher output mean that global

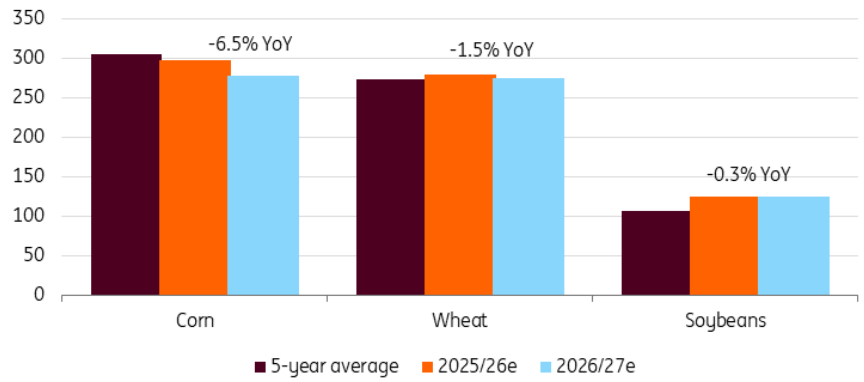
stocks are expected to remain broadly unchanged YoY, suggesting that prices may come under some relative pressure over the latter part of the year. We see soybean prices trading in a largely US$11-12/bu range.

Up until now, forecasts have not taken into consideration the potential impact of more persistent fertiliser shortages. Our forecasts have seen marginal changes since the start of the year. This is partly due to uncertainty over the duration of supply disruptions from the Persian Gulf. Also, while there is a broad relationship between fertiliser consumption and agricultural yields, it is not guaranteed that lower fertiliser usage will hit yields directly. Other variables, such as weather, are also important here.

Essentially, the impact of developments in the Middle East is more indirect and therefore more difficult to gauge in terms of its effect on agricultural prices. This contrasts with 2022, when there was a clear direct impact on agri market supply following Russia's invasion of Ukraine.

Global corn ending stocks to edge lower in 2026/27, while little change expected for wheat and soybeans

in million tonnes



Source: USDA, ING Research

Market attention shifts towards Southern Hemisphere

The impact of potential shortages varies across regions. Southern Hemisphere farmers are more vulnerable than those in the Northern Hemisphere. In the Northern Hemisphere, the impact is likely to be more limited, as farmers have already planted their spring crops and pre-booked inputs for the season. As a result, we do not expect any significant changes in crop areas or yields for most of these producers.

The bigger risk is for Southern Hemisphere producers and their winter crops, which are currently being planted. Risks will grow for spring crops (September to December plantings) if fertiliser disruptions persist into the third and fourth quarters of this year. This is particularly the case for key growing regions like South America, which are heavily dependent on fertiliser imports. Brazil, for example, imports in the region of 85% of its fertiliser needs. Obviously, the immediate impact is farmers facing rising prices and tighter margins, but a prolonged disruption could also feed through to physical shortages of fertiliser for Brazilian farmers. Shortages not only pose a risk to yields, but farmers in agri powerhouse Brazil could also decide to shift area from corn to soybeans, given the latter has a lower fertiliser intensity. This would lead to a further tightening in the global corn market, a market which was already set to tighten this year, with farmers in the US increasing soybean plantings at the expense of corn due to pricing dynamics. Given the importance of these crops as input for animal feed, this is something that the feed and animal protein sectors will monitor closely.

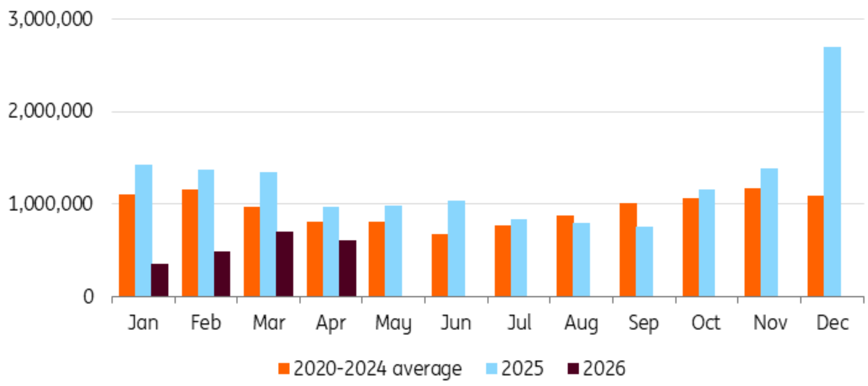
The concern for agri markets is that they are facing this uncertainty at a time when it is looking increasingly likely that we will see an El-Nino weather event this year. The National Oceanic and Atmospheric Administration is forecasting an 82% chance of El-Nino conditions emerging in May-June 2026 and a 96% chance that these conditions will continue through the 2026/27 Northern Hemisphere winter. El Niño can bring challenging weather conditions for some regions, including drier weather across large parts of Asia. In the 2023/24 season, which was an El Niño period, we saw agricultural yields in Brazil negatively impacted. This poses another layer of upside risk to agri prices this year.

What about the fertiliser situation in Europe?

The EU imports 25%-30% of the nitrogen fertiliser it needs, 35-45% of potash and around 70% of phosphate. There are no immediate concerns around fertiliser availability. Suppliers of nitrogen fertiliser had ample stocks available at the start of 2026 in anticipation of the introduction of higher levies on imported carbon intensive goods (CBAM). Since January, imports have dropped, meaning that companies have been drawing down inventories. In terms of domestic production, recent market data shows that production of nitrogen fertiliser has been relatively stable since the start of the Iran war. European producers have seen gas prices increase but selling prices of fertiliser products have also improved, meaning margins remain positive. Meanwhile, imports of phosphate have remained relatively stable.

EU started 2026 well supplied as nitrogen-based fertiliser imports spiked ahead of new carbon related levy

Imports of ammonia and nitrogen-based fertilizer in tonnes



Source: European Commission, ING Research

The impact on EU crop farmers - several factors soften the blow

For crop farmers, fertiliser is a key input. In the EU, it typically accounts for about 15 to 20% of total production costs. Fertiliser prices have been highly volatile in recent years because the market is very exposed to geopolitical developments. In response, many farmers tend to lock in prices ahead of the season, either individually or through groups such as cooperatives, meaning that the fertiliser that's being used on the fields today was often bought at pre-war prices.

For now, this is helping to cushion the blow, but the longer fertiliser prices remain elevated, the more farmers will be exposed to higher market prices. Meanwhile, higher fuel costs, which account for roughly 5% of total production costs, are passed through more quickly, adding to both actual and expected cost pressures. Any increase in agricultural commodity prices would help to reduce pressure on farmers' margins. While the situation will vary across producers, the roughly 10% increase in EU wheat prices since the onset of the war suggests that margin pressures may be less severe than initially feared, as higher output prices are helping to offset rising input costs.

Key risks and how to deal with them

The key supply chain risks for food & agribusinesses linked to the current energy and fertiliser shock are more skewed towards the second half of 2026 and first half of 2027.

1. **Financial stress and consolidation.** Greater financial pressure on farmers reduces their

ability to invest in equipment and makes them more price-conscious when buying farm inputs. Over the medium to long term, the ongoing pressure on profitability along with an ageing farmer population act as drivers for consolidation in the farming sector.

2. **Tighter supply and higher input costs.** Companies sourcing from farmers are likely to face growing pressure to pay higher prices for agricultural products as input costs rise. There is a clear risk that prices of agricultural inputs will exceed initial projections, particularly if a strong El Niño reduces yields and triggers a supply shock.
3. **Rising working capital requirements.** Higher prices would increase working capital needs for businesses. This is not an immediate risk, but one that companies could start to prepare for over coming quarters.
4. **Greater market volatility.** Increased volatility in markets leaves agribusinesses facing a more challenging environment. Firms can address this by creating more certainty through hedging their exposure. This could include inputs (fuel and fertiliser) as well as outputs and could be in the form of hedging in derivative markets or through securing longer-term supply/offtake agreements.
5. **Policy and export restriction risk.** Restrictions on exports of key food commodities become more likely if lower fertiliser application rates tighten domestic food supplies towards the end of the year. This could prompt governments to protect domestic supply and contain inflation. To mitigate risks, procurement teams could review supply chains for over-reliance on staple crops from specific countries. Imports from India, for example, carry higher risk given its history of protectionist measures.

Export restrictions are still mainly focused on energy and fertilisers not on food

Sector	Number of policy actions
Energy	131
Fertilizers	39
Food	14

Source: FAO, ING Research

Taken together, while current market conditions remain supportive and limit the likelihood of a 2022-style price spike, fertiliser-related risks are likely underappreciated given their delayed and difficult-to-quantify impact. Rather than an immediate shock, the pressure is more likely to build gradually, feeding through higher input costs, lower application rates and, ultimately, tighter supply.

For food and agribusinesses, this points to a more uncertain outlook beyond the near term, with risks increasingly concentrated in late 2026 and into 2027 as supply constraints, volatility and policy responses begin to materialise.

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Article | 8 June 2026 FX

FX Daily: Fed pricing and tech indigestion bolster dollar

The dollar is enjoying broad support. Bearish flattening of the US yield curve as the market moves to price Fed tightening and a tech-led sell-off in risk assets are the main culprits for the move. We see these two factors continuing to dominate in a week that sees the release of US CPI for May on Wednesday and a likely SpaceX IPO on Friday

Hawkish Fed pricing and a tech-led sell-off in risk assets should continue to keep the dollar supported

USD: Fed pricing and risk-off mood to keep the dollar bid

Friday saw one of the cleanest and broadest dollar advances in quite a while. The core driver of the move was the strong US jobs report, which has raised expectations that this year's energy inflation shock is landing on fertile ground for second-round effects. The market is pricing close to 30bp of Federal Reserve tightening this year and 50bp of tightening by the second quarter of 2027.

At some point, that expected tightening will be too aggressive, but we cannot see that story being unwound this week. This is because it is another week for US price data, where the May headline CPI reading is expected to push through 4% year-on-year, and PPI final demand should remain near 6% YoY. We are now also in a Fed communication blackout period ahead of the 17 June FOMC meeting, meaning there is little to no scope for the Fed doves to push back against this pricing. In fact, we see the dollar staying bid into that FOMC meeting, given the market expects the central bank to remove its implicit easing bias.

At the same time, growing expectations of Fed tightening have caught an investor base overweight equities and overweight emerging markets. As we discussed in an article on Friday, it looks like investors might be selling off benchmark tech names to clear room in portfolios for Friday's $75-85bn SpaceX IPO. There could also be an issue of indigestion here as well, given that Alphabet recently tapped the equity market for $85bn, and OpenAI and Anthropic also plan to IPO in the coming months. We see the Swedish krona and the Israeli shekel as the most tech-sensitive currencies in the G10 and EM spaces, respectively.

An unwind of risk assets and especially an unwind of emerging market positions is normally dollar-positive. This probably adds weight to US Treasuries as well, given that emerging market nations (and presumably Japan again sometime) will be liquidating Treasuries for FX intervention operations. One further source of dollar selling this week could come from Korea's National Pension Service. In exceptional times, it can increase its benchmark 15% hedge ratio on foreign assets and has said that it is doing so today. As of April, it held over $400bn of foreign equities and bonds – a big chunk of which is presumably in the US.

The geopolitical backdrop is also shifting dollar-positive, with most surprised that Brent is not trading even higher now that Iran and Israel are directly exchanging fire.

DXY should stay bid and looks biased to test resistance in the 100.25/65 area. The dollar's recent strength is a reminder that cyclical rather than structural factors continue to dominate.

Chris Turner

EUR: ECB to provide some rearguard support for the euro

EUR/USD was hit hard on Friday as the dollar surged across the board. This increases pressure on the European Central Bank to sound hawkish this Thursday when it is widely expected to raise its deposit rate 25bp to 2.25%. A hawkish-sounding ECB is our call, and one which will maintain the view that it will hike again in September when it has a new round of forecasts.

On the activity side, we have already seen a weak batch of German factory orders data for April today, and the risk is that eurozone manufacturing activity data now starts to deteriorate after hoarding/inventory building earlier this year around the uncertainty of the Gulf conflict.

With energy prices starting to turn bid again, expect EUR/USD to stay offered and 1.1500 to remain under pressure. At this stage, we probably think support in the 1.14/15 region has a chance of holding this summer, but it will remain pressured while the market explores the idea of a Fed tightening cycle.

Chris Turner

GBP: BoE will try to avoid tightening

It looks as though the Bank of England will try to avoid tightening this year. The market expects relatively little of the Bank this summer, but does price 21bp of tightening at the September meeting. Friday's release of inflation expectations data amongst the corporate community also gives the BoE some confidence that second-round inflation effects are less likely.

In theory, EUR/GBP should be trading higher if the BoE is dragging its feet on tightening at a time when the ECB is about to hike and the data is prompting a rethink on the Fed's position. Equally, sterling is generally seen as a pro-risk currency with a large financial sector, meaning that it generally underperforms in a risk-off environment.

Given what should be a hawkish ECB meeting this week and a vulnerable equity environment ahead of large forthcoming supply, we favour EUR/GBP making a move back to 0.8680, while GBP/USD can test 1.3300 and has outside risk to 1.3200 this week.

Chris Turner

CEE: Zloty seems most exposed amid risk-off mood

Global headlines and hawkish US repricing continue to drive the regional story, while the busy CEE calendar is having only a limited impact. In the Czech Republic, the release of today’s May industrial production data comes after mixed signals in recent days ahead of the June Czech National Bank meeting. Recent board comments suggest the meeting remains live – meaning that policymakers haven't ruled out a move – and we may hear more this week before the blackout period begins next week.

In Hungary, tomorrow’s May inflation release should confirm that low inflation remains unchanged at 2.1% YoY. With the National Bank of Hungary meeting in two weeks, we expect a 25bp rate cut, and Tuesday’s print should reinforce current market pricing.

On Wednesday, the final Czech inflation print should confirm a decline to 2.1% YoY, although the focus will be on core inflation, which we expect to stay at 2.8-2.9%.

On Thursday, the Central Bank of Turkey is expected to keep rates unchanged at 37%. The bank has signalled that policy will remain on hold for an extended period, which we expect to be reflected in this week’s forward guidance, given the US-Iran conflict.

The CEE market saw strong hawkish repricing last week, not only due to Friday's US job data. Market pricing has returned to almost three rate hikes in Poland and almost four rate hikes in the Czech Republic in the one-year horizon. Despite the support of higher local rates, a stronger US dollar is, however, setting the direction for FX in CEE. The region is following the EM sell-off, erasing gains from the previous days. At the same time, the risk-off mood coming from the global equity and rates markets suggests more pain for the CEE region in the days ahead. At the moment, the Polish zloty appears to be the most vulnerable currency in the region, given the dovish National Bank of Poland story, with scope to test the upper end of its current 4.225–4.265 range.

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Article | 5 June 2026 CZECH REPUBLIC

Czech spending holds up amid softer inflation

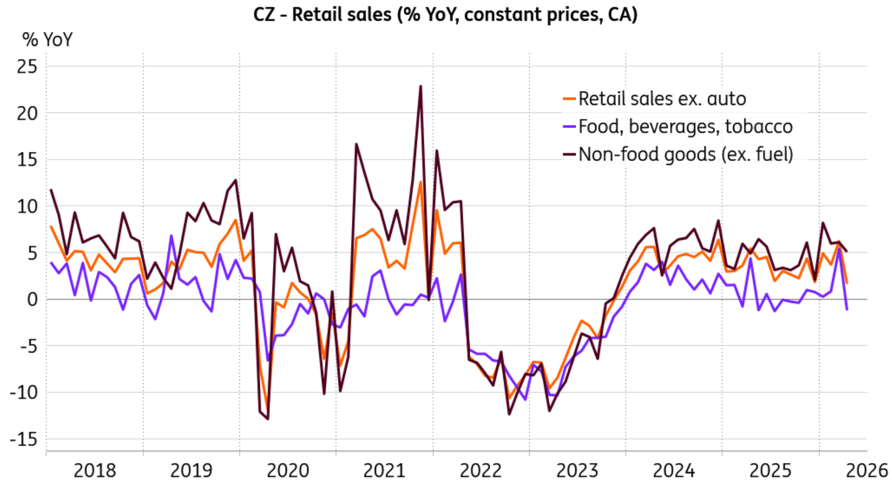
Retail sales undershot expectations in April, yet largely due to a strong Easter effect in the food segment. Spending on non-food goods suggests further consumer strength, while inflation is set to behave relatively well due to receding fuel prices and a decelerating core rate. The key question is whether risks to growth materialise

Prague, Czech Republic

Easter effect shapes retail sales

Czech real retail sales softened to 1.6% year-on-year in April but shed 0.9% month-on-month, coming in well below market expectations. The tangible slowdown in April's annual dynamics was mostly driven by the drop in food sales, which seems to be largely related to the early Easter this year. Indeed, food purchases surged in March before correcting sharply in the subsequent month. The annual figures were heavily distorted by last year's Easter, which fell entirely in mid-April. Meanwhile, non-food spending remained robust with annual growth of 5.1%, in line with a solid economic expansion. At the same time, wages entered the year on a strong footing, gaining 8.1% YoY nominally and 6.4% YoY when adjusted for inflation, providing consumers with ample scope to turn the wheels of consumption.

Non-food sales keep going

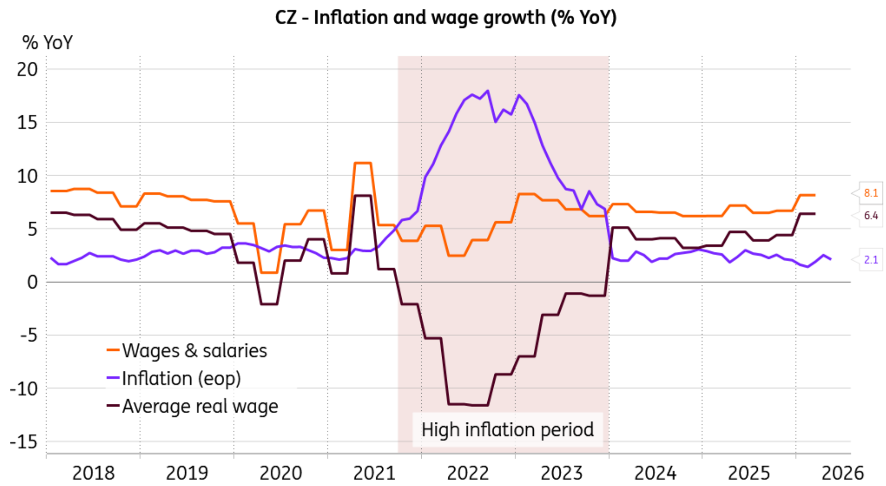


Source: CZSO, Macrobond

Bullet-proof growth resilience would be a surprise

That said, we assume the negative impact of the Hormuz conflict will affect the real economy with a lag, perhaps later in 2Q26 and 3Q26, depending on how well the global economy can sustain the turmoil. Firms are currently hoarding all sorts of inputs to avoid potential shortages and supply chain bottlenecks over the coming quarters, which is keeping demand intact and cross-border trade flowing. However, with businesses facing elevated input costs, heightened competition, and potentially somewhat faltering demand in the future, wage growth may be one of the casualties of squeezed profitability. This is a typical outcome of an extensive and protracted global negative supply shock.

Wage growth accelerated in 1Q26



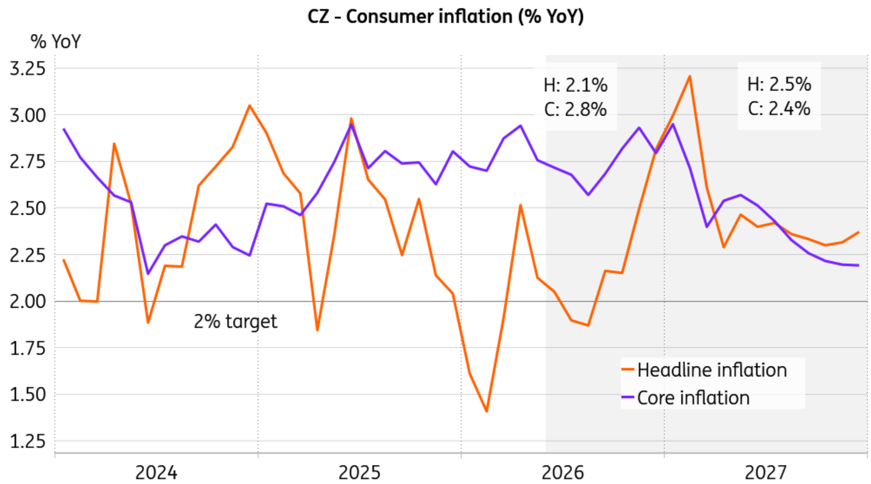
Source: CZSO, Macrobond

Nevertheless, we are witnessing stunning complacency with respect to the potential negative impact on the real economy across markets and institutions at this point. We are open to the possibility that the global economy proves more resilient than expected to roughly 40% higher oil prices and elevated uncertainty – but that would come as a surprise. Perhaps one should not underestimate the ability to adapt, be it at individual or aggregate level. Stay tuned, time will tell.

Inflation set to behave if the Hormuz conflict doesn't escalate

We have updated our inflation outlook, taking on board yesterday's benign CPI reading for May, while estimating annual core inflation at a low 2.8%. We also reflect the latest developments from other crucial exogenous variables, such as lower Brent crude prices and a stronger koruna against the euro in June compared to our previous take. Based on preliminary price surveys, it seems that we may see a rather pronounced drop in fuel prices in June of up to 5% according to the latest figures. Still, we are only into the first week of June, so we take less than half of that move on board for now.

Increase at turn of year reflects base effects



In any case, June's softer headline and core inflation, lower Brent crude price outlook, and relatively well performing koruna bring our inflation outlook below the previous forecast for this year and next. This is based on a rather decent economic performance in the coming quarters, bringing overall economic expansion to 2% this year and to 2.4% next year, assuming only a moderate impact of the Hormuz conflict on real economic activity. However, if Czech firms come under greater pressure as global demand weakens in the second and third quarters, employment and wage growth could be among the first casualties.

To be sure, any hypothesis must be put to the test of time and reality. Nevertheless, we don't expect Czech inflation to be the main culprit this time, especially as the peak early next year is partially driven by a low comparison base from 2026. Moreover, an expected surge in regulated prices in January may not fully materialise if a sustainable agreement with Iran is reached, allowing global energy prices to subside. Any extension of the conflict creates more risks, however, for both the price level and economic performance.

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Article | 5 June 2026

FX CANADA

Bank of Canada still set to lean dovish

Falling output, USMCA renegotiation risk, a mixed jobs picture, and softer-than-feared inflation suggest the Bank of Canada will continue to push back against the market pricing of rate hikes at its 10 June meeting. We don't expect any tightening this year. The Canadian dollar should therefore remain a laggard among commodity currencies

Bank of Canada Governor Tiff Macklem

Inflation and jobs data don't justify hawkish shift

At the April Bank of Canada policy meeting, officials struck a dovish tone, saying they were prepared to "look through the war's immediate impact on inflation." Assuming a relatively swift conclusion to the conflict, "a policy rate close to current settings looks appropriate". Six weeks on and unfortunately, the Strait of Hormuz remains effectively closed, and energy prices remain elevated.

Nonetheless, there is little in the data to justify a more hawkish shift from the BoC at their forthcoming meeting on June 10. April inflation undershot expectations with headline CPI rising more modestly than feared to 2.8% from 2.4% – the market consensus had been 3.1% – while core inflation surprisingly slowed. Meanwhile, the labour market has been mixed. After losing 112,300 jobs in the first four months of the year, employment rebounded by 87,800 in May, but the unemployment rate remains elevated at 6.6%.

Recession and USMCA still argue for a dovish stance

The biggest headlines were generated by the fact that Canada is now in a technical recession after the economy contracted 0.1% annualised in the first quarter after a 1% drop in the fourth quarter last year. In fact, Canada has recorded three quarters of negative growth out of the past four, meaning that the BoC's previous 1.2% full year GDP forecast looks set to be missed.

The early estimate for the monthly April GDP print is better at 0.4% month-on-month, but while higher energy prices are a boon for Canada's economy given it is a major net producer of oil and gas, the ongoing uncertainty about trade policy continues to hold back sentiment.

The coming evaluations of the US-Mexico-Canada trade deal and the potential for the US to put more of a squeeze on trade partners prompted BoC Governor Tiff Macklem to warn that a further rate cut cannot be ruled out if rule changes significantly harm Canada.

We don't expect a BoC hike

Financial markets continue to price a 25bp rate hike before year end. Given the weak activity backdrop, soft jobs market and the lack of corporate pricing power in the economy, we expect interest rates to remain unchanged at 2.25% through until early 2027.

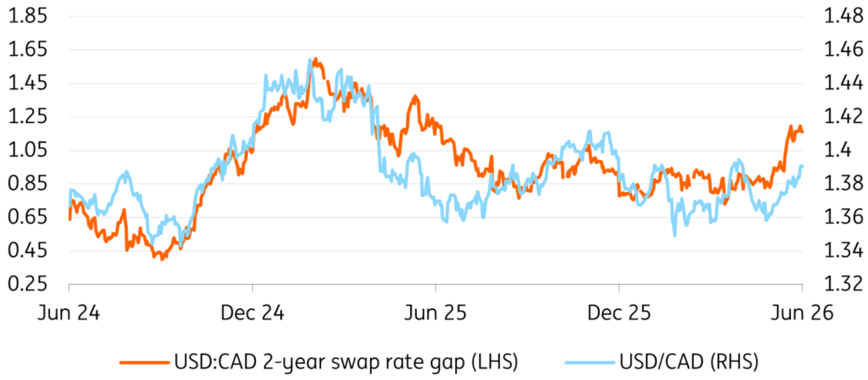
That said, Canada's monetary policy stance remains accommodative and once the economy stabilises, and we have clarity on the US-Canada trade relationship, we should expect interest rate hikes from 2Q 2027 onwards.

USD/CAD upside risks persists

Short-term rate differentials are adding upward pressure to USD/CAD, largely due to the hawkish repricing in Federal Reserve rate expectations. While CAD is an oil-sensitive currency, any further rally in crude is unlikely to benefit the currency. This is primarily because the hit to global risk sentiment would benefit the safe-haven USD. The lack of progress towards a reopening of the Strait of Hormuz means 1.40 could be tested in the very short term.

In a benign scenario where oil flows resume, we think CAD would still lag most G10 currencies. European currencies would get a lift from the improved terms of trade thanks to the drop in energy prices, and markets would likely to reward currencies that offer a strong domestic story. Canada lacks such a story, in our view, given a relatively dovish central bank and ongoing domestic headwinds linked to USMCA uncertainty and labour market volatility.

Short-term rate spread adding upside pressure on USD/CAD



Source: ING, Refinitiv

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